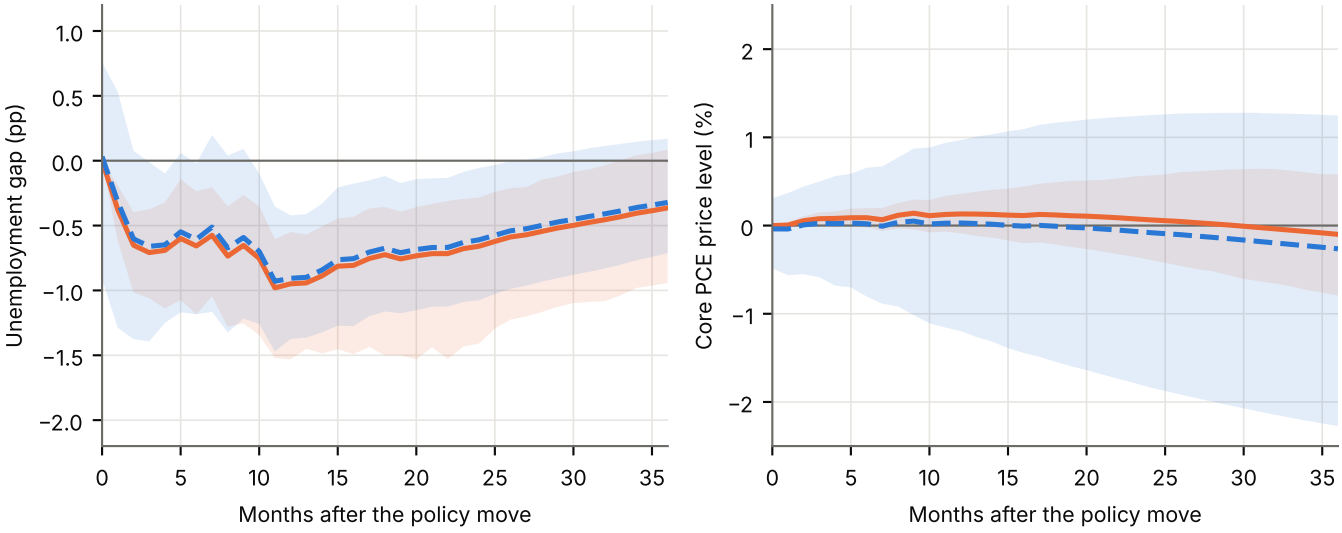
Unemployment gap (pp)
1.0
0.5
0.0
−0.5
−1.0
−1.5
−2.0
0
5
10
15
20
25
30
35
Months after the policy move
Core PCE price level (%)
2
1
0
−1
−2
0
5
10
15
20
25
30
35
Months after the policy move
Recursive (Cholesky) VAR; 90% bootstrap band
Proxy VAR, Nakamura-Steinsson instrument; 90% Anderson-Rubin set